



Monthly Highlights

Global activity: moderate expansion. PMI indexes continue to point to sustained growth, even as momentum has eased in recent months. In January, the global PMI composite output index stood at 52.5, above the expansionary threshold, with the future output sub-index signaling modest momentum (figure 1.A). While median global inflation remained broadly steady at 3 percent (y/y) in December 2025, manufacturing costs pressures appear to be rising in the context of ongoing trade uncertainty, with the manufacturing PMI sub-index for input prices increasing by over 1 percentage point to 56.3 in January. In parallel, labor market indicators point to only limited strength, with the global employment sub-index hovering just above the expansionary threshold at 50.3, below its 2023-25 average.

Global trade: resilience amid regional divergence. Global goods trade volumes increased by 5.3 percent (y/y) in November—the fastest pace since March, up from 3.1 percent in October. Double-digit import growth in EMDEs in Asia excluding China, and expansions in other regions, more than offset a deepening contraction in United States imports (figure 1.B). In January, global manufacturing PMIs for new export orders continued to move towards the expansionary threshold, while the services equivalent deteriorated further into contractionary territory. Since early 2026, the United States has announced trade agreements with Argentina and India, and reauthorized the African Growth and Opportunity Act, granting eligible Sub-Saharan African countries duty-free access to the U.S. market. The European Union has also concluded negotiations with several key partners, including India and Mercosur. Meanwhile, trade policy uncertainty remains elevated, following the U.S. Supreme Court's ruling on the use of the International Emergency Economic Powers Act (IEEPA) to impose tariffs.

Commodity markets: elevated prices, heightened volatility. Commodity prices rose 8 percent in January (m/m), the largest monthly increase in almost three years, led by notable gains in energy and metal prices, whereas agricultural prices remained broadly stable. Brent oil prices surged in recent weeks, reaching US\$71/bbl in mid-February due to intensified geopolitical risk, while natural gas prices spiked in January as colder-than-usual winter weather drove heating demand in Europe and the United States. Precious metals rose by 17 percent in January (m/m), with gold reaching a record high above US\$5,500 per troy ounce amid heightened safe-haven demand, before rapidly reversing some of the gains (figure 1.C). Strong speculative demand pushed silver

FIGURE 1.A Global composite PMI

FIGURE 1.B Growth in goods import volumes in November 2025

FIGURE 1.C Precious metals prices

Sources: Bloomberg; CPB Netherlands Bureau for Economic Policy Analysis; Haver Analytics; World Bank.

Note: PMI = purchasing managers' index.

A. PMI readings above (below) 50 indicate expansion (contraction). Last observation is January 2026.

B. Regional aggregates are based on the classification of the CPB Netherlands Bureau for Economic Policy Analysis. The figure shows year-over-year growth in goods import volumes for November 2025.

C. Last observation is February 19, 2026.



and platinum prices to record highs, before a large and sharp correction in early February.

Global financial conditions: risk reassessment. The announcement of the nominee for the next Chair of the U.S. Federal Reserve in late January took place against a backdrop of marked volatility in metals and currency markets. This tempered the rise of gold and silver prices, and stemmed the depreciation of the U.S. dollar, which had weakened previously even as geopolitical risks mounted. In February, the release of new AI capabilities raised questions about the business models of software and legal services firms, leading to declines in U.S. equities and widening high-yield corporate credit spreads (figure 2.A). The announcement of further large capital expenditures by leading technology firms added to the volatility, as investors reassessed the payoff from AI investments. Spillovers to EMDEs were limited, as equity markets held steady and sovereign spreads remained narrow (figure 2.B).

United States: mixed data. Growth in the United States slowed more than expected at the end of 2025, with GDP expanding 1.4 percent (q/q saar) in 2025Q4, down from 4.4 percent in the previous quarter, implying annual growth of 2.2 percent last year. Activity decelerated as government consumption fell sharply due to the federal government shutdown, while a pickup in private investment, and still solid though moderating private consumption provided support (figure 2.C). High frequency indicators suggest softening activity this year, with the composite PMI edging down to 52.3 in February from 53 in January. In contrast, the U.S. labor market regained momentum in early 2026 with nonfarm payrolls rising by 130K in January, well above consensus expectations, a marked improvement after limited gains in 2025, which saw an average of just 15K net nonfarm payroll positions added per month, compared to 122K in 2024. Meanwhile, January headline consumer price inflation eased more than expected to 2.4 percent (y/y) from 2.7 percent in December, signaling receding inflation risks.

Other advanced economies: continued resilience. Euro area GDP growth continued to surpass expectations, with an increase of 0.3 percent (q/q sa) in 2025Q4, indicating annual growth of 1.5 percent in 2025 (figure 3.A). Firming growth in Germany, Spain, and to a lesser extent Italy offset slowing activity in France. The composite euro area PMI for January suggested an ongoing but moderating expansion: a softening in the services PMI was only partially offset by an improvement in manufacturing PMI. In January, preliminary euro area headline inflation slowed to 1.7

FIGURE 2.A NASDAQ Index and U.S. high-yield spreads

FIGURE 2.B MSCI emerging market index and sovereign spreads

FIGURE 2.C Contributions to quarterly U.S. GDP growth - 2025Q4

Sources: Bloomberg; Bureau of Economic Analysis; Federal Reserve Bank of St. Louis; JP Morgan; World Bank.
Note: EMDEs = emerging market and developing economies; Gov't = government; MSCI = Morgan Stanley Capital International; Priv. = private.
A. High yield refers to credit ratings below Baa-/BBB-. Last observation is February 19, 2026.
B. Last observation is February 19, 2026.
C. Figure shows data for contributions to 2025Q4 U.S. real GDP growth seasonally adjusted at annual rates, published on February 20, 2026.



percent (y/y) from 2 percent in December, moving below the European Central Bank's 2 percent target. In Japan, GDP growth recovered to 0.1 percent (q/q sa) in 2025Q4, mainly driven by a rebound in residential investment, leading to annual growth of 1.1 percent in 2025. The composite PMI rose to 53.1 in January, with the manufacturing PMI returning to expansionary territory for the first time since June, while equity markets jumped to record highs following February's election results.

China: softer domestic activity. GDP growth slowed to 4.5 percent (y/y) in 2025Q4 from 4.8 percent in 2025Q3, but met the annual target of 5 percent for 2025, as solid export growth offset softness in investment (figure 3.B). In January, the official manufacturing and non-manufacturing PMIs slipped into contractionary territory, decreasing to 49.3 and 49.4, respectively. The declines reflect subdued demand and persistent weakness in the property sector, as both the services and the construction subcomponents fell. Price pressures remain muted, with headline inflation dropping to 0.2 percent (y/y) and core inflation declining to 0.8 percent in January.

Other EMDEs: mixed performance. The composite PMI for EMDEs excluding China remained in expansionary territory, but softened slightly in January (figure 3.C). After gradually strengthening in 2025Q4, the headline services PMI edged down in EMDEs excluding China due to a sharp decline in Brazil, whereas the headline manufacturing PMI firmed slightly on aggregate, with mixed readings. Although the new export orders manufacturing PMI sub-index improved in January, it remained in contractionary territory for a third consecutive month. Improving readings in economies including India, Malaysia, Mexico, and Vietnam more than offset declines in several other EMDEs such as Brazil, Thailand, and Türkiye. After inflation picked up in the second half of 2025, disinflation resumed in December across EMDEs excluding China, with the 3-month moving average of median headline decelerating to 4.3 percent (y/y), down from 4.4 percent in November.

FIGURE 3.A GDP growth in the euro area

FIGURE 3.B GDP growth in China

FIGURE 3.C PMIs for EMDEs excluding China

Sources: Consensus Economics; Haver Analytics; World Bank.

Note: EMDEs = emerging market and developing economies; PMI = purchasing managers' index.

A. Panel shows preliminary GDP growth flash estimate in chained prices (seasonally and working-day adjusted, q/q) and consensus economics expectations published in the last month of the quarter observed: 2025Q1 (10 March), 2025Q2 (9 June), 2025Q3 (8 September), and 2025Q4 (8 December). Last observation is 2025Q4.

B. Panel shows year-on-year real GDP growth and expenditure contributions to China's GDP growth. Last observation is 2025Q4.

C. Panel shows the 2024-GDP-weighted average manufacturing, services, and composite global PMIs for up to 16 EMDEs. PMI readings above (below) 50 indicate expansion (contraction). Last observation is January 2026.